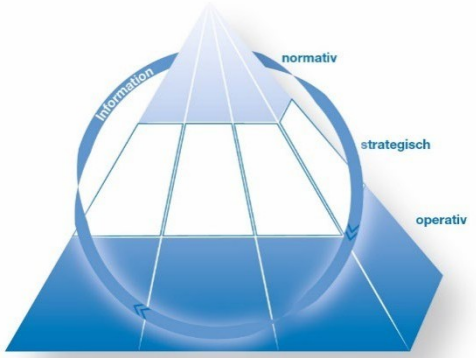
# Strategic analysis

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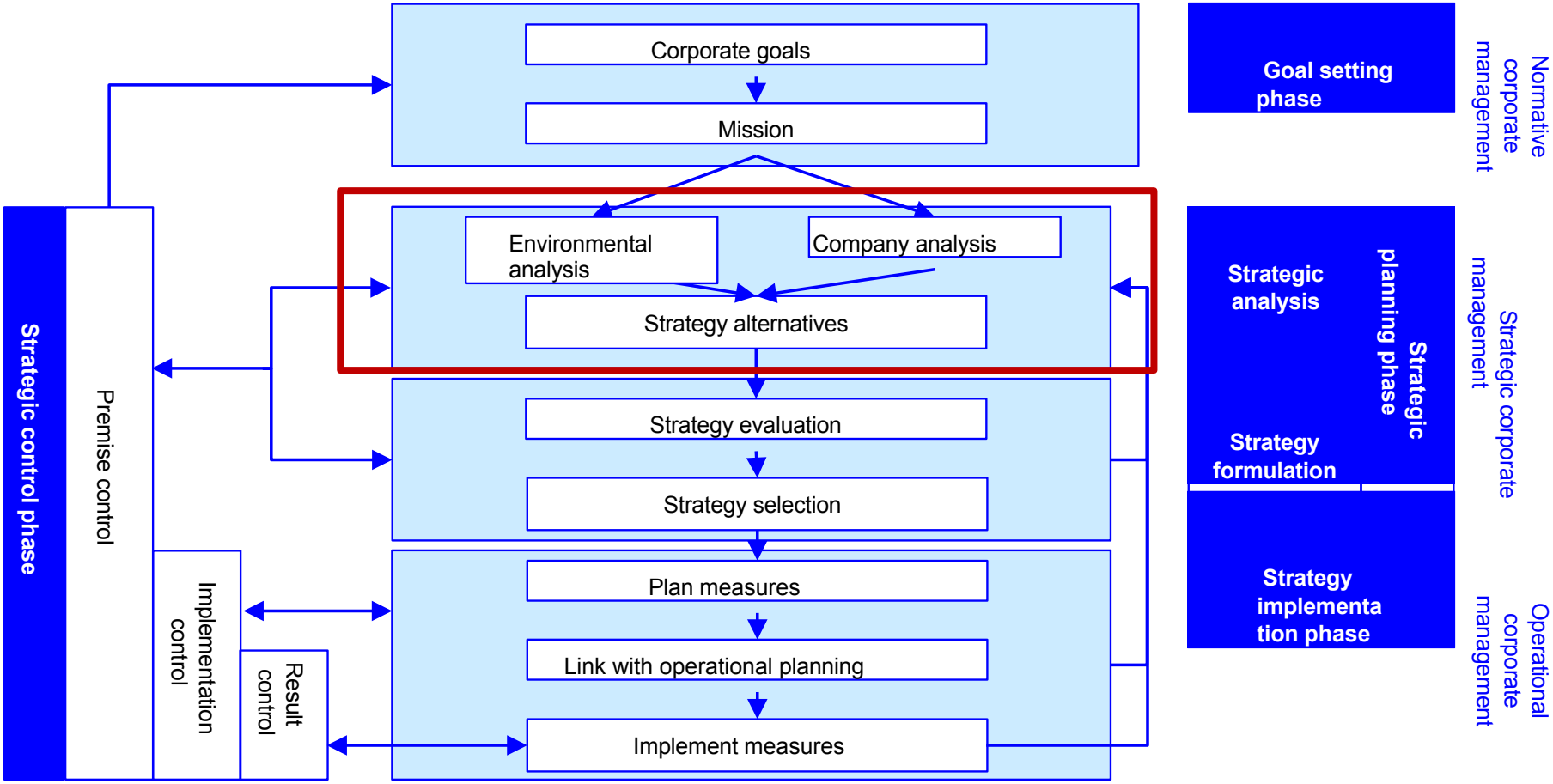
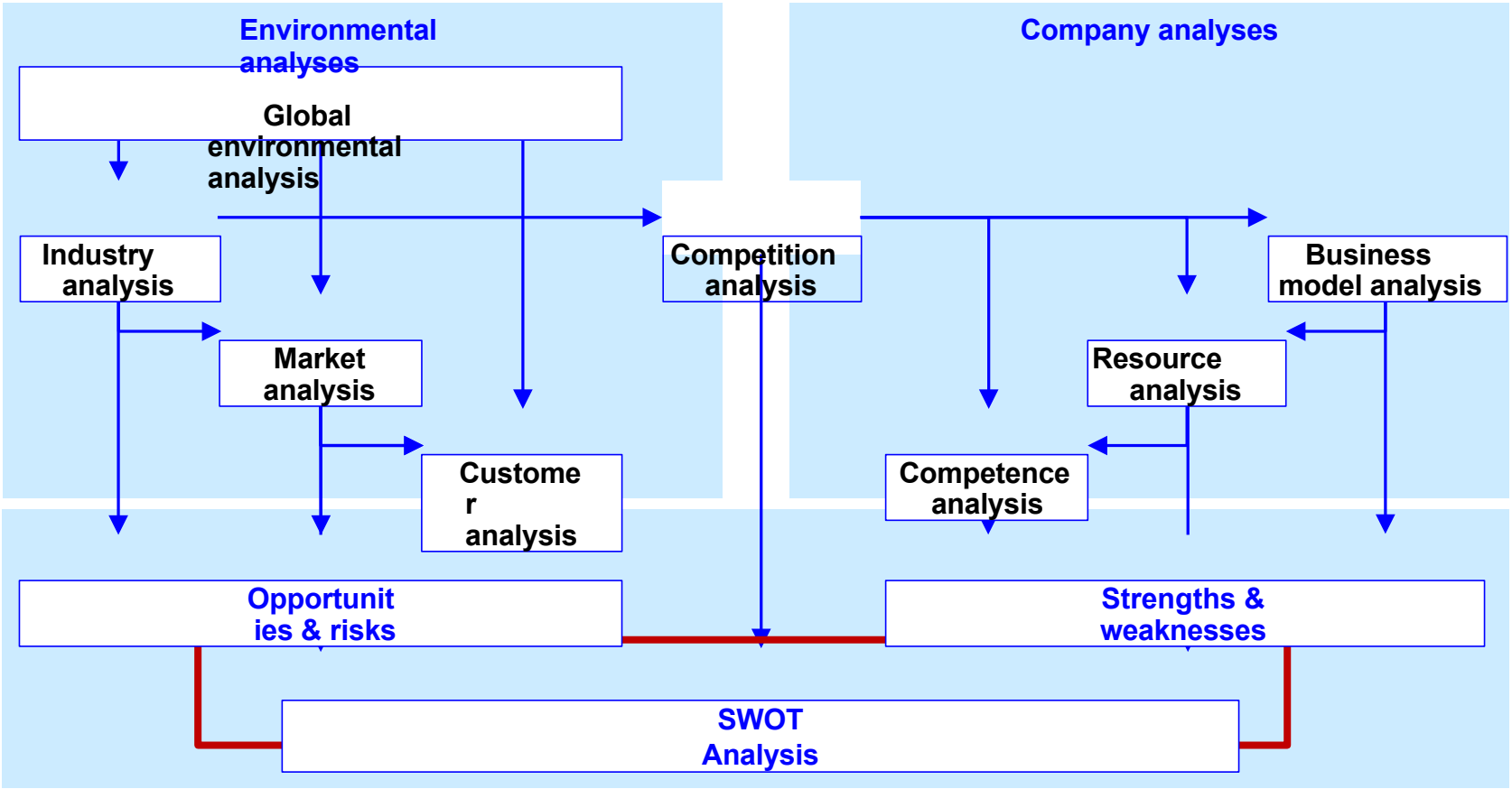
# Strategy process




*Source: Dillerup and Stoi, Unternehmensführung, Vahlen, 2013.*

# Elements and contexts of strategic analyses

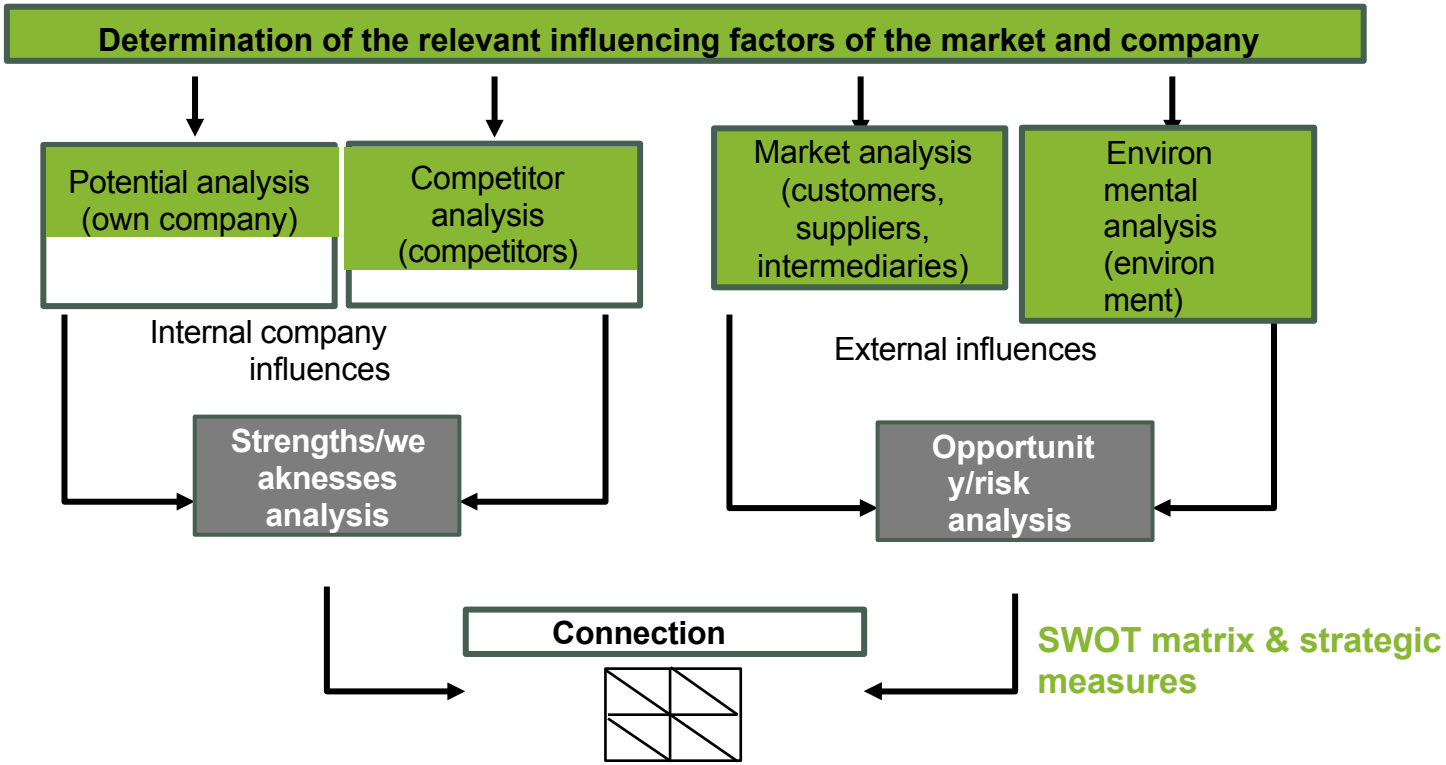



**Strategic situation**

*Source: Dillerup and Stoi, Unternehmensführung, Vahlen, 2013.*

# SWOT analysis

- SWOT analysis (Strengths, Weaknesses, Opportunities, Threats): Results **Opportunities/risks analysis and strengths/weaknesses analysis** combined.
- Comparison of opportunities/risks and strengths/weaknesses (**SWOT matrix**) provides information for **strategic measures**



# WITHIN THE COMPANY

## Analysis of internal company influences: Strengths and weaknesses

- Recording of the company'**s own resources** (e.g. employee qualifications, market position, financial resources)
  situation, image etc.)

- Evaluation of these resources leads to strengths and weaknesses of your own company (**potential analysis**)

- Comparison with the strengths and weaknesses of the largest competitor reveals competitive advantages (**competitor analysis**)

# EXTERNAL TO THE COMPANY

## Analysing external influences: Opportunities and risks

- **Market and environmental analysis** of the company according to
  - **Opportunities,** e.g. growth potential through unutilised consumer potential or changed consumer needs, new Distribution opportunities etc.
  - **Risks,** e.g. stagnation or contraction of the market, new competitors, substitute products, unfavourable legal developments etc.

# Example factors

| Opportunities/risks analysis | | | | | | Strengths and weaknesses analysis |
|---|---|---|---|---|---|---|
| Environment situation | Competitive situation | Supplier situation | Trading situation | Customer situation | Market situation | Company situation |
| ■ Political framework conditions<br>■ Competition law<br>■ Environmental protection legislation<br>■ Social norms<br>■ Overall economic growth | ■ Number and size of competitors<br>■ Intensity of competition<br>■ Market position of competitors<br>■ Power relations<br>■ Cooperation opportunities | ■ Number of suppliers<br>■ Dependence on suppliers<br>■ Delivery reliability<br>■ Willingness to co-operate<br>■ Technical equipment | ■ Purchasing decision-making behaviour<br>■ Trade needs<br>■ Technological equipment<br>■ Exercising power through trade<br>■ Trade Concentration<br>■ Willingness to co-operate | ■ Customer demographics/ customer structure<br>■ Settings<br>■ Quality/service requirements changes<br>■ Repurchase behaviour<br>■ Purchasing power | ■ Market segmentation<br>■ Polarisation<br>■ Technological change<br>■ Market volume<br>■ Degree of saturation | ■ Market position<br>■ Performance programme<br>■ Capitalisation<br>■ Sales organisation<br>■ Innovative strength<br>■ Employee fluctuation<br>■ Cost structure<br>■ Corporate image<br>■ Cooperation with external marketing centres |

The relevance of the individual fields of analysis results from the respective task and the respective framework conditions (industries, current problems, time and financial resources)

# SWOT matrix with strategy derivation

## Linking S-W-O-T in matrix with strategy derivation

| External factors<br>Internal factors | Opportunities<br>"Opportunities" | Threats<br>"Risks" |
|---|---|---|
| Strengths<br>"Strengths" | **SO scenario**<br>Strengths meet opportunities<br>**Expansion measures** | **ST scenario**<br>Strengths that are associated with significant risks or can be<br>**Safeguarding measures** |
| Weaknesses<br>"Weaknesses" | **WO Scenario**<br>Not all opportunities can be utilised, but are limited by our own weaknesses<br>**Catch-up measures** | **WT Scenario**<br>Weaknesses and risks coincide<br>**Dismantling measures** |

# Implementation rules

1. Recording the company's relevant external influencing factors: preparing an opportunity/risk analysis

2. Recording the relevant company-internal influencing factors: Preparation of a strengths and weaknesses analysis

3. Linking the company's external opportunities and risks with its internal strengths and weaknesses in a matrix.

4. Matrix as a basis for deriving

# Brief practical example of a car manufacturer

| | Chancen | Risiken |
|---|---|---|
| Stärken | Weltweit wachsende Automobilmärkte<br>Internationale Unternehmenspräsenz | Weltweite Verschärfung der Sicherheits-standards<br>Führende Position im Insassenschutz |
| Schwächen | Besonderes Wachstum im Bereich kleiner Fahrzeuge<br>Fehlende Erfahrung im Kleinwagensegment | Weltweite Verschärfung der Emissions-vorschriften<br>Keine serienreifen alternativen Antriebskonzepte |

# Practical example 2: SWOT matrix Furniture manufacturer

***Strengths (S= Strengths)***

1. Flexibility through in-house production
2. Flat hierarchies
3. High quality
4. ...

***Weaknesses (W = Weaknesses)***

1. Low brand differentiation
2. High dependence on retail
3. Unfavourable cost structure
4. ...

***Opportunities (O =Opportunities)***

1. Relaxation of protection against dismissal
2. Availability of raw materials
3. New production technologies
4. ...

***Risks (T = Threats)***

1. Declining purchasing power
2. Changing values
3. Strong competition
4. ...

***Expanding" S-O strategies***

*High quality*

*New production technologies*

***Catch up" W-O strategies***

*Unfavourable cost structures*

*Relaxation of protection against dismissal*

***Hedging" S-T strategies***

*Flat hierarchies*

*Changing values*

***Dismantle" W-T strategies***

*Low brand differentiation*

*Strong competition*

*Source: based on Dillerup and Stoi, Unternehmensführung, Vahlen, 2013.*